

STATE OF NEW YORK

5640--B

2025-2026 Regular Sessions

IN SENATE

February 26, 2025

Introduced by Sens. BAILEY, ADDABBO, CLEARE, COMRIE, FERNANDEZ, GOUNARDES, JACKSON -- read twice and ordered printed, and when printed to be committed to the Committee on Racing, Gaming and Wagering -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the racing, pari-mutuel wagering and breeding law, in relation to authorizing up to two percent of mobile sports tax revenue be used for youth team sports funding

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. Subdivision 8 of section 1367 of the racing, pari-mutuel
2 wagering and breeding law, as amended by section 1 of part 00 of chapter
3 59 of the laws of 2025, is amended to read as follows:

4 8. (a) Notwithstanding section thirteen hundred fifty-one of this
5 article, mobile sports wagering gross gaming revenue and tax revenue
6 shall be excluded from sports wagering gross gaming revenue and tax
7 revenue. Mobile sports wagering tax revenue shall be separately main-
8 tained and returned to the state for deposit into the state lottery fund
9 for education aid except as otherwise provided in this subdivision. Any
10 interest and penalties imposed by the commission relating to those
11 taxes, all penalties levied and collected by the commission, and the
12 appropriate funds, cash or prizes forfeited from sports wagering shall
13 be deposited into the state lottery fund for education.

14 (b) In fiscal year two thousand twenty-two, the commission shall pay
15 into the commercial gaming fund one percent of the state tax imposed on
16 mobile sports wagering by this section to be distributed for problem
17 gambling education and treatment purposes pursuant to paragraph a of
18 subdivision four of section ninety-seven-nnnn of the state finance law;
19 provided however, that such amount shall be equal to six million dollars
20 for each fiscal year through fiscal year two thousand twenty-six and

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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1 twelve million dollars for each fiscal year thereafter, provided that
2 this amount may only be expended pursuant to a plan approved by the
3 director of the budget.

4 (c) In fiscal year two thousand twenty-two, the commission shall pay
5 one percent of the state tax imposed on mobile sports wagering by this
6 section to the general fund, a program to be administered by the office
7 of children and family services for a statewide youth sports activities
8 and education grant program for the purpose of providing annual awards
9 to sports teams and programs for underserved youth under the age of
10 eighteen years for programming, improvements, and equipment; provided
11 however, that such amount shall be equal to five million dollars for
12 each fiscal year through fiscal year two thousand twenty-six and two
13 percent of mobile sports tax revenue up to twenty million dollars for
14 each fiscal year thereafter. Fifty percent of such funding shall be
15 used for capital expenditures and the remaining fifty percent shall be
16 used for programming. Capital expenditure funding shall be distributed
17 by county youth bureaus. Programmatic funding shall be distributed by
18 county youth bureaus, except in the city of New York where seventy-five
19 percent of programming funding shall be distributed by the city's
20 department of youth and community development and twenty-five percent of
21 such funding shall be distributed by Laureus Sport for Good Foundation
22 USA. Each county youth bureau, the city of New York's department of
23 youth and community development, and Laureus Sport for Good Foundation
24 USA shall issue a report to the commissioner on the recipients of such
25 funding, the use of the funds, and the impact of the funding within six
26 months of the end of each grant period.

27 (d) The commission shall require at least monthly deposits by a plat-
28 form provider of any payments pursuant to subdivision seven of this
29 section, at such times, under such conditions, and in such depositories
30 as shall be prescribed by the state comptroller. The deposits shall be
31 deposited to the credit of the state commercial gaming revenue fund. The
32 commission shall require a monthly report and reconciliation statement
33 to be filed with it on or before the tenth day of each month, with
34 respect to gross revenues and deposits received and made, respectively,
35 during the preceding month.

36 § 2. This act shall take effect immediately.